

TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Set the chart on a 5-minute timeframe.

Apply **VWAP**, keep only upper and lower band #2 enabled, and the rest disabled.

Wait for a bearish candle to close below the lower band.

When a bearish candle is closed below the lower band, it indicates that it has entered the oversold zone.

The next move of the price is to pivot with a bullish candle.

The formation of a bullish candle indicates a reversal.

The **BUY** entry is triggered when another candle breaks the high of the previous green candle.

STOPLOSS may be below the green candle.

TARGET 1 is at the VWAP and **TARGET 2** is at the upper band.

The preferred minimum Risk to Reward ratio is 1:2.

In the above illustration, on 21st March 2023, Sun Pharmaceutical opened with a big 5-minute red candle. The market was already in an uptrend, a small correction lead the price to fall below the lower band and enter into the oversold zone. The next candle was a Bullish Inverted Hammer candle, which means the market might fall further but, the confirmation of the breaking of its high indicates the market is ready to pivot. The buy entry was triggered at the high of the green candle and the stoploss was below the low of the green candle. Notice that just after hitting the upper band, the price pivoted back. Also, once we have taken a trade at this setup, we are not going to overtrade in the same security as there is a possibility of fake indications.